

Comparing State Enterprise Zone Programs: Variations in Structure and Coverage

Michael Brintnall
Mount Vernon College

Roy E. Green
University of Oregon

Michael Brintnall is Assistant Professor of Political and Social Science at Mount Vernon College in Washington, D. C. He is formerly Director of the Economic Development Research and Analysis Division, Community Planning and Development, U. S. Department of Housing and Urban Development and has served as a consultant with the Urban Institute, the Battelle Memorial Institute, and with state and local government. He is a former faculty member at Brown University.

Roy E. Green is currently on the faculty of the Department of Planning, Public Policy and Management and a Senior Research Associate with the Bureau of Governmental Research and Service at the University of Oregon. Formerly, he has served as Legislative Assistant to U.S. Senator John Danforth for community and economic affairs and as Executive Assistant to the Assistant Secretary for Legislation, U. S. Department of Housing and Urban Development. He is a former faculty member at the University of Wisconsin—Milwaukee.

This article develops a framework to classify and compare state administered enterprise zone programs based on survey data from state program administrators. Three themes are described as having led to the design and implementation of individual state programs: economic theory, political theory, and programmatic experience. From these themes, seven key dimensions are identified, within which state programs can be expected to vary. The analysis measures the variation among states' programs within these dimensions and assesses the usefulness of the framework developed here as a guide to comprehensive evaluation of individual and comparative program performance.

ENTERPRISE ZONES IN HISTORICAL PERSPECTIVE

The formulation of the enterprise zone concept as an urban economic development proposal resulted from the thinking of two Englishmen who were working independently and who held widely divergent political ideologies: Peter Hall (a socialist and an academic) and Sir Geoffrey Howe (a conservative and a Chancellor of the Exchequer in the Thatcher government). After returning from a tour of the tax-free zones in the Far East in the mid-1970s, Professor Hall envisioned the re-creation of Asian "free-ports" inside the most economically distressed inner city areas of Great Britain, similar to those that led to the remarkable development in Hong Kong and Taiwan in the 1950s and 1960s.

Endorsing essentially the same business creation aspects of the concept, Sir Geoffrey Howe promoted what he termed "enterprise zones" as a more spatially constricted development mechanism for revitalizing largely deserted industrial areas of the inner cities (most frequently located along the fringes of the inner cities). Howe's proposal also emphasized tax relief and deregulation for business ventures, while it de-emphasized "inside the zone" residential components that would later become central to the American debates on the concept. A program along the lines recommended by Howe was enacted by the Thatcher government in November 1980.¹

The British enterprise zone concept might have been characterized as just another (foreign) public policy proposal to reverse the decline of inner-city districts were it not for the concept's departure from conventional American strategies directing post-Depression era governmental intervention. Stuart Butler, a British-trained economist, who in 1979 was to introduce the enterprise zone concept to American policymakers, summarized it as selected areas

of approximately a square mile in size, in which regulations, zoning, controls, and taxes would be reduced to the minimum practicable, with a view to creating an

atmosphere highly attractive to small entrepreneurs particularly from among the indigenous population. The aim of a zone, in short, would be to identify inner-city areas where existing bureaucratic programs and tax policies have failed, and to provide free enterprise with the chance to deal with the problem.²

Conceptually this notion represented a unique departure from most American federal and state governmental programs for urban economic revitalization; enterprise zones were to be geographic frameworks for measured governmental withdrawal from market intervention. However, this characterization, and subsequent representations by Butler, introduced a linkage between the economic rejuvenation of a distressed area to residential or neighborhood development:

Crime and racial tensions are much less of a problem in British cities, and little attention has been given in the British zones to any social objectives. But in America the creation of jobs cannot be the sole purpose of the zones. They must also provide opportunities for local residents to enter business. If they fail to do so, they will not achieve the sense of community and racial harmony that is the foundation of a successful neighborhood.³

The initial legislative sponsors at the national level were two Congressmen from the state of New York who, like the concept's British founders, were of widely divergent political ideologies (Representatives Jack Kemp, a conservative Republican, and Robert Garcia, a liberal Democrat). Foreshadowing the controversy to come, Kemp and Garcia began to emphasize and promote different objectives out of Butler's adaptation of the concept to the American circumstance. After interviewing the two cosponsors, James Traub of *The New Republic* found that enterprise zones for Kemp seemed to represent job creation, but for Garcia, the concept promoted more generally inner city revitalization.⁴

The American Context

However simple the logic and premises that appeared to underlie the enterprise zone proposal and unite its sponsors, since its introduction in the United States, the concept has had three interrelated but distinctive lives: its analytical or theoretical evolution, its political and philosophical development and adaptation, and its legislative and programmatic history. The enterprise zone notion has had a curious history in the United States: It is a concept that was initially taken from foreign application, raised to national prominence during the 1980 presidential campaign of Ronald Reagan as a philosophical illustration of a wider strategy for economic and social problem definition, relationship, and solution, and led to state and local government experimentation rather than being nationally institutionalized by its results.⁵

Each life represents a different focal point or vantage point from which American policymakers seemed to have acted and that analysts should be aware of to appropriately assess the path of the concept since its introduction as a program idea. Specifically, the different focal points or policy streams that have guided enterprise zone program development are the following:

- the analytical/theoretical evolution, which focuses on the reasons the concept is expected to work, based on economic theory and the concept of public-private partnerships;
- the political/philosophical base of the issue, which focuses on the reasons the concept is considered a "good" idea, valued whether it has substantial economic impacts or not. This perspective relates the enterprise zone idea to prospects for more limited government intervention into economic affairs, and to the operations of the federal system;

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- the legislative/programmatic focus, which addresses the ways state and local government have adapted the concept to their own agendas.

The significance of these three conceptual tracks is that individual enterprise zone programs in the states have been designed and implemented simultaneously out of them. This suggests why preliminary comparative analyses have described such wide and often confusing program variations among the states and why there often appears to be internally competitive, and sometimes contradictory, program designs (e.g., implementation of development tools originally designed for quite different economic circumstances, choices of economic development tools made because of a desire to reform intergovernmental relations, and modifications to the original concept because of the realities of political compromise).

Doreen Massey poignantly illustrates the variety of meanings given to the enterprise zone concept in her analysis of existing programs and proposals:

The presentation of enterprise zones revolves, not around a specification of economic processes, but around a constellation of words. "Enterprise," "innovation," "technology," "independent," "small business," "venture," "risk." These are the terms assembled to characterize the proposals. As a group, such words clearly have very definite political overtones, but what is important for the moment is that they are not woven into a detailed argument about economic mechanisms. For most of the time it is assumed that the things referred to somehow "go together." The main function of the words is to conjure up an image.⁶

This lack of consensus about what an enterprise zone is supposed to be, or what principles and assumptions hold it together, makes the state programs that have been enacted difficult to evaluate and compare because programs similarly named may be built on quite different interpretations of the underlying concepts. Furthermore, there is the complicating factor that the states are likely to be more interested in meeting their own agendas than sustaining the purity of any particular enterprise zone concept, and thus there are adaptations in state programs to their own traditions and circumstances. Nevertheless, in spite of the absence of an intellectual consensus or a singular federal definition of the concept, the reality is that more than one-half the states in the Union have implemented something that they at least have chosen to designate as an enterprise zone program.⁷

The national government has played an active nonprogrammatic role in promoting enterprise zones, for example, through coordination and dissemination of information on state activities. A federal program has taken until late 1987 to pass in Congress, and this provides no meaningful incentives. Nonlegislative options are also possible. The American Association of Enterprise Zones has, for example, suggested that the Reagan Administration should follow the example of the state of Pennsylvania and issue an executive order requiring the coordination of federal economic development policies and programs to enterprise zones in those states where a program has been implemented.⁸

But right now the initiative is with the states. The analysis in this article examines enterprise zones from the perspective of state policy making and administration. It addresses how each enterprise zone program was developed, how the state is organized and offers to administer it, and finally, how the state programs in our survey sample of 17 states and 18 programs (California enacted two versions of the program) compare along a number of fundamental conceptual and programmatic dimensions.

FRAMEWORK FOR A COMPARATIVE ANALYSIS

In this country, the three major policy streams introduced above have converged in each state to create the variations among the enterprise zone initiatives. Early evidence

suggests that operating enterprise zone programs within the states have been influenced by all three of these policy streams.

We believe that these three policy streams are important starting points from which to raise several fundamental questions concerning the state experiences with the enterprise zone concept, including: Along what dimensions do state programs vary the most and the least (e.g., the balance of economic versus political objectives, and to what extent do the novel features of the enterprise zone concept become subverted to existing state practices). How are individual states with operating programs arrayed along these dimensions? Which state enterprise zone programs conform the most closely to Hall and Howe's original proposition, or Butler's elaboration concerning the narrower economic or the broader community development emphasis?

We have identified seven key dimensions along which, we believe, actual state programs are likely to vary and with which they can be compared, derived from a review of the policy streams from which we contend that the various state enterprise zone programs have been generated, and from our direct experience with federal and state efforts. These dimensions, and their relationship to the policy streams generating the enterprise zone idea, are as follows:

- (1) *The extensiveness of state and local government intervention in program management.* In a pure sense, the economic and political ideas behind enterprise zones call for very limited government intervention, in deference to market forces; however, as a general pattern, many state governments are adopting a more activist orientation to economic development and program management and may be expected to steer enterprise zones aggressively.
- (2) *The degree of private sector cooperation and involvement in program design and zone management.* Enterprise zones are often defined as a subset of a larger realm of public-private sector cooperation in achieving public policy aims. This cooperation is central to the enterprise zone concept; but it may vary within the states to the extent that the public-private sector relationship is institutionalized in the design and operation of the program.
- (3) *The degree to which the goals of the enterprise zone program extend beyond job creation to incorporate broader social and community development objectives.* Creation of new jobs and business ventures is an objective of all enterprise zone proposals and programs, but programs may vary in the extent to which they go beyond the concerns of employment, tax rates, and general business activity to include concerns for a community's overall infrastructure, facilities, or the delivery of social services.
- (4) *The extent to which the state's program is tolerant of risk.* Risk-taking is a value that the concept is supposed to promote inside the zones and among participating entrepreneurs. We expect to find some variation in the states' willingness to test enterprise zone applicability in a variety of intrastate economic, social, and political contexts and to allow the zones to persist for a long time without substantial oversight.
- (5) *The extent that the state program meets the expectation for being innovative.* The enterprise zone concept's most basic promise is that it will go beyond repackaging economic techniques that have been tried in the past; however, it seems reasonable to expect that state programs will vary in the provision of incentives unavailable for local development in the state or activities in areas in which the state does not previously have experience.
- (6) *The emphasis placed by the state government on the enterprise zone program as a marketing device for economic development.* A charge often made by the business community against many state-sponsored economic development programs, including enterprise zone programs, is that they are often too unaware of the specific applicability of program provisions to have any effect on their business location or expansion decisions. As a consequence, it seems plausible that at least some states may

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be requiring that their enterprise zone programs enhance their promotional capacities above those required in their earlier programs.

- (7) *The level of internal political consensus that characterized the enactment and implementation of each state program.* The enterprise zone concept has been challenged in many ways, such as whether it is truly a significant or innovative tool for economic development and whether it will fundamentally alter the way governments and private sector will relate to each other. Superimposing such potential debates on states with widely varying objectives and public policy traditions suggests that there is likely to be a varying degree of support and consensus behind the program ideas, which may affect implementation.

Classification of State Enterprise Zone Programs

Finding the appropriate information to make the classifications is difficult. Enterprise zone programs in the states can differ on a vast number of details—types of taxes and other incentives being provided; kinds of data used to measure distress within the zone; criteria for selection and designation; length of time that certification runs; etc. Some of these details significantly affect how a zone program conforms to one or another of the concepts that distinguish types of zones; but other details are not conceptually important. The more thoroughly a scheme to classify state programs reports the details of a program, the more difficult it is to identify meaningful distinctions among them.

To overcome these difficulties, we constructed a survey questionnaire to secure information from chief administrative officers of state programs regarding how their program was developed and administered. Specifically, the mailed questionnaire dealt with the major public objectives of the zone program in the state, the role played by various groups in the state and the expertise available to the state in the design of the program, the incentives included in the program, the characteristics and role of the lead state administrative agency, the administration and operation of the program, and the extent of monitoring and evaluation. When responding to our 13-page questionnaire, administrators were invited to have other staff in their offices complete different sections of it. However, we indicated that we would be reporting in the aggregate that the responses are those of the chief administrators of enterprise zone programs.

The survey was conducted in the fall of 1985. A total of 17 states (representing 18 programs) out of the 24 states with legislation enacting enterprise zone programs at the time responded to our extensive mailed questionnaire. Factual data (e.g., actual date of program enactment, number of sessions introduced before passage) that were missing from the returned surveys but were available from other sources were added to the data base to make the analysis more complete and accurate.⁹ The states responding to the survey were these:

Arkansas, California (two programs), Florida, Georgia, Illinois, Indiana, Kansas, Kentucky, Louisiana, Maryland, Minnesota, Mississippi, Missouri, Pennsylvania, Tennessee, Texas, and Virginia.

The field of enterprise zone activity is changing all of the time. Many additional states have enacted and implemented programs since our survey. Some have changed their programs since we surveyed them, and others have enacted programs but not yet implemented them. In our sample, for example, the Florida program is now substantially changed, and the Texas and Tennessee programs are enacted but not implemented. A number of groups are now providing up to date catalogs of current features of state programs.¹⁰ The purpose of the classifications in this article is to complement existing program descriptions and analyses by identifying variation in the way state programs are structured and what they are attempting to accomplish.

Table 1 lists the seven dimensions we have identified as important in comparing

TABLE 1 Major Dimensions of Enterprise Zone Programs and Selected Measures in States Surveyed (as of Fall 1985)

<i>Dimension</i>	<i>Extensiveness of Government Involvement</i>	<i>Activation of Public/Private Partnerships</i>	<i>Breadth of Goals</i>	<i>Tolerance of Risk</i>	<i>Degree of Innovation</i>	<i>Emphasis Placed on Marketing</i>	<i>Degree of Consensus in Development of Program</i>
Illustrative measure	How frequently does state require modification of local zone boundaries?	Has a state enterprise zone advisory group been formed?	Is revitalization of the inner city a major or minor goal of the program?	How many years are zones authorized before renewal or termination?	How many different types of new incentives have been enacted for zones alone?	Is a local marketing plan often included or required?	In how many legislative sessions was EZ bill considered before enactment?
STATE:							
Arkansas	Frequently	No	Minor	6 years	1	No	1
California	Rarely	Yes	Major	15 year	4	Yes	3
Florida	Occasionally	No	Major	5 years	2	No	1
Georgia	Rarely	No	Major	25 years	1	No	1
Illinois	Frequently	No	Major	20 years	4	Yes	2
Indiana	Frequently	Yes	Major	10 years	4	Yes	2
Kansas	Occasionally	No	Minor	5 years	2	Yes	1
Kentucky	Rarely	Yes	Minor	20 years	3	Yes	1
Louisiana	Never	No	Minor	Permanent	2	Yes	1
Maryland	Occasionally	Yes	Minor	10 years	2	Yes	1
Minnesota	n.a.	No	Minor	7 years	4	Yes	1
Mississippi	Never	Yes	Minor	Sunset 1989	3	Yes	1
Missouri	Occasionally	No	Minor	16 years	1	Yes	1
Pennsylvania	Occasionally	No	Major	1 year	0	Yes	n.a.
Tennessee	n.a.	Yes	Major	No limit	1	No	2
Texas	n.a.	No	Minor	20 years	1	Yes	1
Virginia	Never	Yes	Major	20 years	2	Yes	1

SOURCE: Survey of State Enterprise Zone program directors undertaken by authors in Fall 1985. In some cases, such as Florida, the program has been substantially revised since the survey was taken.

NOTE: n.a. = not available.

enterprise zone programs, identifies an illustrative measure of each dimension, and reports characteristics of the states in our survey for the measure as reported at the time of our survey. The matrix in this table shows two important things. One is evidence of the degree of variation in state programs. The other is the difficulty of capturing this variation with lists of single facts about state programs.

To overcome this latter difficulty, we developed composite measures of groups of indicators of each dimension for the states. To do this, we first identified items from our questionnaire that we considered to be indicators of the concepts underlying each of the dimensions described above. The individual questions used as indicators are discussed in the following section. Usually we selected four or five questions per dimension.

The indicators were combined into an index for each concept. Typically, each indicator was scaled from 0 to 4 and averaged with the others. In this analysis, correlation coefficients with an absolute value of .4 or greater are statistically significant at the .05 level or better. If an indicator failed to correlate in the expected direction with the index, we excluded that indicator. This happened in only a few cases and never appreciably changed the ranking of the states on an index.

The seven indices that we created in this way are the basis for the following analysis in which we have attempted to classify state programs and to analyze what accounts for the variation we find. We believe this classification and analysis will lay the groundwork for future evaluations of enterprise zone program performance.

THE STRUCTURE OF STATE ENTERPRISE ZONE PROGRAMS

. . . states with enterprise zone programs tend to be larger than nonprogram states, to have slower or negative population growth, and to impose lower taxation and revenue efforts on their residents. States with enterprise zone programs are disproportionately found in the South.

In an earlier study we found that there are significant demographic and policy differences between states that have introduced enterprise zone programs and those that have not.¹¹ We found that states with enterprise zone programs tend to be larger than nonprogram states, to have slower or negative population growth, and to impose lower taxation and revenue efforts on their residents. States with enterprise zone programs are disproportionately found in the South. Even after controlling for this regional factor, states with programs tend not to have a record of prior social or economic policy activism or of targeting efforts to distressed areas. There is also evidence that, other things being equal, enterprise zone programs tend to be found in states with Republican governors.

Given these differences between states with and without programs, we suspected that there would also be differences among the kinds of programs established by states with them. Our first step in analysis of states with programs has been to classify different program types. We have started this effort with a look at variation in state program structure. Later we relate this variation to differences in state program goals, techniques, supports, and eventually, performance.

Initially we have focused on two dimensions of state program structure: one looking within state government to the degree of agency involvement in program management and the other looking outward to the involvement of the private sector in design and management. Each of these is discussed individually below, and then they are combined.

State Management

Classic treatments of the enterprise zone concept have suggested that zone programs are largely "self-executing," not calling for active public oversight or reviews. This perspective has followed from both the economic and political implication of the free market orientation of the concept. But some states have deviated from this principle. The enterprise zones have not emerged in a vacuum, and many states have embraced the enterprise zone idea with the arms of their own management experience and philosophy.

We expected a major dimension in program operations to reflect variation in the

degree to which the state actively manages its enterprise zone program and requires local governments to manage their zones. The index of management activism that we have established is based on six indicators from our survey:

whether the state requires a local plan for each zone; the frequency with which the state modifies or expects to modify local zone applications; whether the state requires local managers be appointed; whether the state provides training for local managers; the frequency with which the state provides or expects to provide technical assistance to local zones; and whether public reports about the zones are required.

The states with the most management involvement, as indicated by having a score more than one standard deviation above the average score on the index, are Illinois, Missouri, California, Mississippi, and Indiana. States with especially low scores on this index are Georgia and Kansas. The state with the score closest to the average for all states on this score is Pennsylvania. Table 2 lists all states in our sample on this indicator by their standard score. A negative number indicates lower than average management involvement, and a positive number indicates higher involvement.

A key objective of our analysis is to relate this variation in state program design to demographic and other program features, but we will postpone this discussion until after introducing a second key program index.

Public-Private Cooperation

A second key dimension to understanding enterprise zones is the extent to which private sector groups are active participants in the development and operation of the program. Public-private cooperation is of course a central aspect of the enterprise zone program concept; it is less settled as to whether this private sector role occurs through involvement in the program itself or behind the scenes through rational action within the marketplace in reaction to the enterprise zone incentives. Our index of public-private cooperation was based on five indicators as follows:

whether there is a state advisory group for the program; the number of nongovernmental groups reported to be actively involved in program design; the average importance of the role played by such groups in design as reported by the state program director; whether the program requires consensus agreements be established with citizen groups within each zone; whether public-private business partnerships are required within each zone.

The states with especially high levels of public-private cooperation are Indiana and Kentucky; states that are especially low are Georgia (which permits zones only in Atlanta), Missouri, Louisiana, and Minnesota. The state with the score closest to the middle of the index, a sort of median state, is Kansas. Table 3 lists all states in our sample on this indicator by their standard scores. A negative number indicates a lower than average degree of public-private cooperation; a positive number indicates higher cooperation.

Classifying States

The management and the public-private dimensions, we believe, distinguish the two major components of variation in the enterprise zone concept, reflecting the degree of internal state effort directed to the program, and the degree of external, private, involvement. As we expected, they are independent dimensions. The correlation between the two indexes is small (.1).

By cross-classifying these two indexes, we have identified four types of enterprise zone programs within the states: an activist program with high levels of state management and of

TABLE 2 Degree of State Management Involvement

<i>State</i>	<i>Score</i>
Georgia	-1.5
Kansas	-1.3
Tennessee	-.9
Arkansas	-.9
Texas	-.8
Florida	-.8
Kentucky	-.6
Maryland	-.4
Louisiana	-.3
Pennsylvania	.0
Virginia	.2
Minnesota	1.0
Indiana	1.1
Mississippi	1.1
California	1.1
Missouri	1.3
Illinois	1.5

TABLE 3 Degree of Public-Private Cooperation

<i>State</i>	<i>Score</i>
Georgia	-1.4
Missouri	-1.3
Louisiana	-1.1
Minnesota	-1.1
Florida	-.8
Mississippi	-.6
Arkansas	-.3
Texas	-.3
Virginia	-.3
Kansas	.0
Maryland	.4
Illinois	.6
California	.8
Tennessee	.9
Pennsylvania	1.0
Indiana	1.6
Kentucky	1.9

private group involvement; a managed structure, with high levels of state management and low levels of private group involvement; a private structure, with low levels of state management involvement and high levels of private group participation; and a hands-off structure, with low levels of both state management and private group involvement in the program.

States were assigned to each group by classifying them as high or low on each index based on their score relative to the average score. Figure 1 is a plot of each state based on the standardized score of each index.

Describing Program Variation

We are interested in whether differences in state enterprise zone programs correspond with other differences in state demography and policy experiences. In particular, we have looked at whether the same factors that are related to a state having a program at all, as discussed above, are also related to the kind of program a state implements.

Although we found some characteristics that differentiate states with hands-off, private, and managed program structures, the major distinctions set activist programs apart

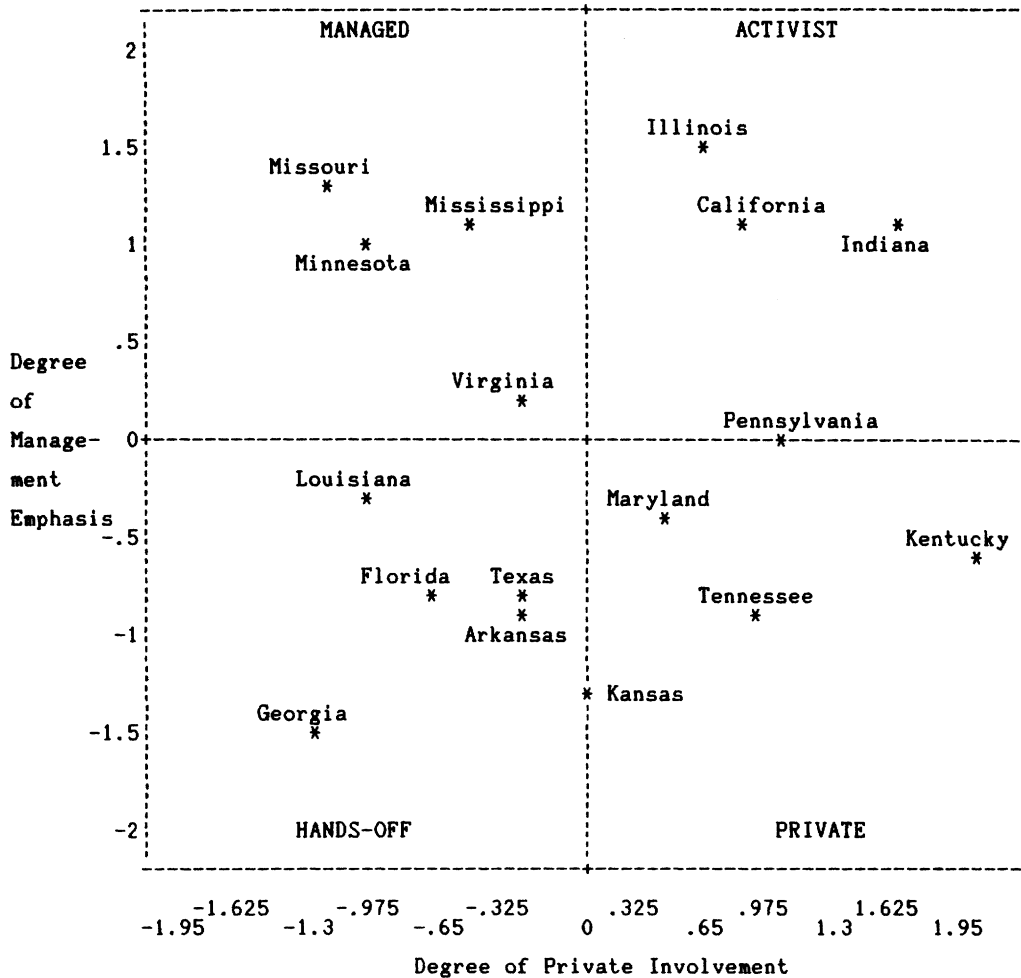


Figure 1: Type of State Enterprise Zone Program

from these others. Each of the key demographic factors is discussed separately below. Many of them are highly interrelated, but given the limited number of states with enterprise zone programs, it is not possible to identify the multivariate effects.

Region remains a major factor distinguishing types of enterprise zone programs. Not only are Southern states more likely to have enterprise zone programs, but the programs they have tend to be different from those in other regions. Half of the Southern enterprise zone programs we studied are of the hands-off structure, with low management involvement, and less private involvement. None of the Southern programs was identified as activist.

On other demographic and prior policy factors, activist states are also clearly different. The activist states are larger. They have a distinctly higher "liberalism" score, which is a record of prior policy activism.¹² On average, the activist states are above average for the U.S. on this score; states with the other three types of enterprise zone program structures are below average for the nation. Activist states have higher unemployment rates than the other states, are more likely to have existing programs targeting aid to distressed areas, and all have Republican governors.¹³

States may be influenced in adopting and designing enterprise zone programs by what their counterparts are doing. We asked whether states were influenced by enterprise zone programs in other states and by the federal enterprise zone proposals in designing their programs. About half the states reported some or a great deal of influence from other states. Those reporting such influence tended to be those adopting a hands-off type of program

structure and were clustered together in the South. Evidently, commonalities shared by the Southern programs have arisen not just because of common circumstances but because of diffusion of ideas and approaches among them.

About two-thirds of the states reported some or a great deal of influence from the federal initiative in their program design. There was no difference in program types adopted by states reporting such influence. Not surprisingly, states with Republican governors reported strong influence from federal initiatives twice as often as states without them.

A state's political structure is also associated with variation in program structure. States with strong interest groups and weak political parties are far more likely to have adopted hands-off or private program types; states with strong parties and weak interest group domination tend to have managed or active programs.¹⁴ In general, we believe the measure of interest group and party strength is more a reflection of a general level of political development and differentiation in the state than a specific indicator of interest group involvement in the enterprise zone program alone.

Table 4 summarizes key data for each of the four enterprise zone program types as well as for states without zone programs at all and for states with zone programs for which we did not have data to classify a program type.

Program Objectives

Structure is not the only source of variation in state enterprise zone program efforts. Program objectives can also vary. We measured program objectives by whether the state strictly emphasized objectives of job creation or whether they went beyond this to articulate an explicit interest in community and neighborhood development as well.

All of the states in our sample reported that job creation was a major goal of their program. Thus our program objectives index was constructed based on whether the states had additional development objectives or not. The index was created from three indicators as follows:

whether neighborhood development and housing is expressed as an objective of the program; whether citizen group agreements, housing assistance, or improved public services are required in each local enterprise zone area; and the frequency with which data on minorities, elderly, crime rates, and housing are required in defining enterprise zone boundaries in the state.

The states with a low score, indicating little emphasis on additional objectives, are Georgia, Louisiana, and Mississippi. States with a high score, marking especially strong interest in additional objectives, are Illinois, Kentucky, Indiana, and Texas. The median states, with scores closest to the middle of all states analyzed are Arkansas and Florida. Table 5 lists all states in our sample on this indicator by their standard score. A negative number indicates lower than average emphasis on additional objectives, and a positive number indicates higher emphasis.

We found no single, outstanding factor that accounts for variation in a state's interest in development objectives additional to job creation, though the data do show some tendencies. One of the strongest factors appears to be the presence of state development programs for distressed areas already on the books. Another is the state location—programs in Southern states tend to have narrower, job creation objectives, and not incorporate community development objectives into their programs. There is also a tendency for the programs with activist structures to incorporate community development objectives into their program.

The significance of these findings regarding program objectives, we think, is twofold. First of all, there is a relationship between what states have done in the past and what they attempt to do with their enterprise zone program—states that have targeted aid for community development before also tend to adopt a broader range of objectives for the

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TABLE 4 Characteristics of States at Time of Enterprise Zone Program Enactment
by Type of Enterprise Zone Program as of Fall 1985

<i>Program Style</i>	<i>Number of States</i>	<i>1983 Population (in thousands)</i>	<i>Percentage in South</i>	<i>"Liberalism" Score</i>	<i>Percentage Republican Governors</i>	<i>1983 Unemployment Rate</i>
Hands-off	5	7780	80	-.87	0	9.2
Private	4	3782	50	-.23	25	9.1
Managed	4	4313	50	-.62	25	9.2
Activist	4	13508	0	.61	100	11.0
Unclassified	13	3652	15	.37	31	9.2
No program	20	3028	15	.02	20	8.9

SOURCES: Data for table are cited in text.

TABLE 5 Degree of Emphasis on Additional Objectives

<i>State</i>	<i>Score</i>
Georgia	-1.6
Louisiana	-1.3
Mississippi	-1.0
Kansas	-.9
California	-.8
Maryland	-.7
Tennessee	-.4
Minnesota	-.3
Arkansas	-.1
Florida	.2
Pennsylvania	.5
Virginia	.5
Missouri	.6
Illinois	1.0
Kentucky	1.2
Indiana	1.6
Texas	

enterprise zone program. This linkage appears to be specifically related to community development, as there is not any relationship between enterprise zone objectives and the more general liberalism score.

Second, program objectives are not tightly determined either by state characteristics or by program structure. Program objectives themselves are variable and any attempt, ultimately, to assess the impact of enterprise zone programs must account for not just what the state actually did but what it hoped to do.

Program Techniques

States have also varied in terms of the tools they have put into place to carry out their enterprise zone program. In our analysis, we have explored this aspect of program variation in three ways: the degree to which new tools have been developed at all; the use of marketing initiatives as a component of the enterprise zone initiative; and the extent to which the state assumed risks in implementing this new program initiative.

New incentives. Our index reflecting the degree of new initiatives developed by states focuses on the extent to which the state has added new incentives for enterprise zones or actively reduced regulatory burdens for the area. It addresses the issue of whether the enterprise zone program is a repackaging of things the state has already done or includes new initiatives for the zones.

The index was created from three indicators, one of which, by itself, was a measure of the interaction of two separate variables in our survey. The indicators are as follows:

the number of incentives reported by the state; the number of different kinds of new incentives from each of six possible categories (e.g., tax credits, deregulation) weighted by the reported degree of previous experience in the state using such an incentive; and the number of new data sources established for determining eligibility of zones, which have not been used for other state programs.

States that are high on this index, showing relatively high levels of innovation in this way are Indiana, California, Illinois, and Minnesota. States that are low are Pennsylvania (which created its enterprise zone program administratively, with no new incentives or authority), Texas, and Missouri. The state with the median score is Mississippi. Table 6 lists all states in our sample on this indicator by their standard score. A negative number indicates lower than average degree of innovation, and a positive number indicates a higher average degree.

Two patterns stand out regarding the degree of new initiatives in the state program design. For one thing, states with higher degrees of new initiatives in their enterprise zones also tend to have higher state liberalism scores, indicating a generally high level of policy activism.

For another, states with more active types of program structure also tend to have higher degrees of new initiatives. Activist states averaged 1.5 on standard scores of the new initiative index, managed and private states average 0, and hands-off states averaged -9 . In other words, new programs with the least involvement of state agencies and of private sector groups also tended to have fewer new tools with which to work. This too should be kept in mind in the ultimate evaluation of enterprise zone program performance.

Marketing. A second area in which new techniques are important in understanding enterprise zone programs is marketing. Marketing efforts by the state are frequently cited as one of the key potential steps to success.¹⁵ The index we have created for marketing efforts reflects the states' orientation toward involvement in marketing efforts to bring business into the zone. The role of marketing in enterprise zone theory is ambivalent—in one sense, market incentives themselves ought to draw alert entrepreneurs to the zones; in another sense, advertising is often considered a valuable activity to make markets work more smoothly, especially for new or small entrepreneurs, and marketing can be thought of as state advertising of the zones and their promise.

Our index of marketing effort is composed of five indicators as follows:

the prior availability of marketing expertise in the state for designing the program requirements; prior state experience in management of marketing efforts; the extent to which state officials would like to strengthen marketing capacity; whether a local marketing plan is required; and whether technical assistance in marketing is offered by the state to local zones.

Variation on this measure was low compared with other indexes we created. Only one state—Mississippi—was strongly committed to marketing relative to the others. Three states scored quite low on the index, indicating a weak orientation toward marketing: Georgia, Maryland, and Tennessee. Table 7 lists states by relative effort directed to marketing.

Significantly, a state's commitment to marketing is essentially unrelated to its general index of innovation. (The correlation is .1). They are separate dimensions of effort. In general, the commitment to marketing is unrelated to any major demographic or programmatic variables except one—the state's unemployment rate. States with higher unemployment rates tend to undertake more active program marketing efforts.

Government risk. A third area of importance in examining the approach states have taken in implementing their enterprise zone is their tolerance for risk—both in reaping benefits from the program and facing possible state revenue loss from reduced tax obligations. There are several ways in which states can control risk (e.g., oversight, limiting the coverage of zones), each possibly restricting the potential gain from the program. We have attempted to measure the propensity for risk by examining reporting requirements for

TABLE 6 Degree of Innovation in Adopting New Incentives

<i>State</i>	<i>Score</i>
Pennsylvania	-1.5
Texas	-1.3
Missouri	-1.2
Arkansas	-.9
Georgia	-.7
Tennessee	-.5
Louisiana	-.4
Kansas	-.2
Mississippi	.0
Virginia	.2
Florida	.2
Maryland	.3
Kentucky	.5
Minnesota	1.0
Illinois	1.0
California	1.5
Indiana	2.0

TABLE 7 Degree of State Effort Directed to Marketing

<i>State</i>	<i>Score</i>
Georgia	-2.3
Maryland	-1.8
Tennessee	-1.2
Pennsylvania	-.7
Florida	-.2
Virginia	-.2
Kansas	-.2
California	-.2
Minnesota	.4
Texas	.4
Indiana	.4
Kentucky	.4
Missouri	.9
Louisiana	.9
Arkansas	.9
Illinois	.9
Mississippi	1.4

the program and by looking at the number and duration of zones operating within the state. Reporting requirements can create cumbersome administrative overhead but minimize risk by providing early warning of problems in the program. Implementing large numbers of zones for long periods of time can benefit the program by stimulating investor confidence in the zones, but of course it magnifies the potential size of tax losses if the program does not work as anticipated.

Our index of government risk is composed of the following indicators:

An interaction between duration of initial designation period for the zones and the total number of zones authorized; whether state and local annual reports on zone activity are required; and whether the state adopts a narrow geographic focus for the program or permits the same program to operate in both urban and rural areas of the state.

The Pennsylvania program showed the lowest level of risk, as would be expected from their design that emphasized use of existing state programs and procedures rather than enactment of new ones. However, the Indiana program also scores low on this measure, even

TABLE 8 States Listed by Degree of Risk

<i>State</i>	<i>Score</i>
Pennsylvania	-2.1
Indiana	-1.9
Minnesota	-.8
Maryland	-.6
Missouri	-.4
California	-.3
Kentucky	-.1
Virginia	.0
Mississippi	.1
Georgia	.1
Tennessee	.5
Illinois	.5
Kansas	.6
Florida	.8
Arkansas	1.0
Texas	1.2
Louisiana	1.6

though the program in that state involves a relatively large number of new program initiatives. Risk and innovation are different and essentially unrelated concepts—their correlation is $-.3$. States facing higher risks, as we have defined them, tend to be in the South—Louisiana, Texas, and Arkansas showed the highest indications of risk.

As one would expect, states with a more active management style tend to show somewhat lower levels of risk, though the effect is not strong. More significant effects appear when one looks at state political factors. States with strong interest group politics (and, correspondingly, weak party systems) tend to be far more likely to adopt risk, as we have defined it here. Table 8 lists the standard scores for our measure of risk for each state.

Program Structure and Supports

A significant factor in the development of state enterprise zone programs is the degree of consensus and group support within the state for the program that developed. We asked state officials a number of questions about the groups supporting the program initiative and about the process of implementing the new program, which we have combined into an index of state consensus regarding the program that was established. We also have separate variables for the state's use of the federal enterprise zone proposals and other state programs as referents for their own design, and for state political and interest group structure.

The index of internal state consensus was built from the following elements:

the level of support or opposition by key groups in the state for the enterprise zone initiative; the numbers of legislative design controversies reported to us by state officials; the number of legislative sessions in which the program was considered before it was approved; and the number of legislative amendments to the program per year.

States with a relatively high degree of consensus in their program are Florida and Texas; states with relatively low consensus are Illinois and California (California, in fact, passed two state programs at the same time). Median states are Kansas and Missouri. Table 9 lists states in order of low to high consensus regarding their enterprise zone program.

States with an active program structure, that is, with both extensive state involvement and widespread private sector participation, tend to show a lower level of consensus than states with other program structures. This presumably follows from the higher degree of bargaining and accommodation necessary in forging an active operating system. Probably for similar reasons, a high level of consensus is associated with a low level of new initiatives within the enterprise zone program. On the whole, states with stronger interest groups

TABLE 9 Degree of State Consensus

<i>State</i>	<i>Score</i>
Illinois	-2.5
California	-2.1
Indiana	-.4
Minnesota	-.4
Georgia	-.2
Arkansas	-.1
Missouri	.0
Kansas	.0
Tennessee	.1
Maryland	.2
Louisiana	.3
Kentucky	.5
Virginia	.8
Mississippi	.8
Pennsylvania	.9
Texas	1.0
Florida	1.2

tended to show greater consensus over the enterprise zone program that emerged than those with stronger parties and weaker interest groups.

Another factor related to the degree of political support for the enterprise zone program is a partisan one. Enterprise zones have been promoted actively by a Republican president and widely associated with that political party's emphasis on public-private partnerships for public policy ends. As mentioned above, states with Republican governors have been more likely to implement enterprise zone programs than states with Democratic governors, and the Republican states have more often tended to adopt an activist program structure.

However, the Republican governors have not usually proceeded in the face of widespread consensus over the program initiative. States with a Republican governor tend to show lower levels of consensus about the enterprise zone initiative. This is explained primarily by the frequency with which Republican governors are associated with activist enterprise zone programs, which in turn are associated with lower degrees of consensus.

EVALUABILITY ASSESSMENT OF STATE-ADMINISTERED ENTERPRISE ZONE PROGRAMS

One of the major reasons for the lack of evaluation research on state-administered enterprise zone programs to date is that the concept's integral components have not been sufficiently well-defined to allow policymakers or analysts to establish a success criteria for individual or comparative analysis of state programs. We have in this article conducted an initial evaluability assessment of state enterprise zone programs by attempting to bound and refine the concept through actual program analysis from two perspectives: the potential users of evaluation, and the evaluator. We believe the classification of state enterprise zone programs that we have begun here has value in at least two related respects: It offers an important immediate benefit as a guide to state activity for current policy decision-making within states; it can also help to focus future evaluation studies of state programs.

It is well known that state government officials often rely on their counterparts in other states for ideas, examples of program design, and practical lessons in success and failure. But given the maze of details in different state program designs, it is almost impossible for policymakers in one state to know what those in another are really doing. Since so many different activities are carried out under the common name of "enterprise zone," it is difficult

State enterprise zone programs are fundamentally different from each other—in management style, program goals, etc. But these differences are not superficially apparent and may not even be recognized by the officials in the states involved.

to know whether the state has adopted an approach that in its essence would be an appropriate model or relevant source of ideas.

State enterprise zone programs are fundamentally different from each other—in management style, program goals, etc. But these differences are not superficially apparent and may not even be recognized by the officials in the states involved. The typologies begun in this paper can help officials in states without programs to identify states with a style they would like to adopt, to use as models. They can assist states with on-going programs to identify others with similar strategy or structure to compare program experiences and to place into proper context the experiences of neighboring states that may, in fact, have quite different types of programs in place.

There are two ways in which the matching of program styles can take place. One way is for a policymaker to identify the type of program in which he or she is interested—active or passive management, broad or narrow objectives, for example—and then to identify from the classifications suggested here a state or states that fit the criteria. Another approach, perhaps more responsive to the way state-by-state interaction really takes place, is for the policymaker to identify individual states with which he or she feels comfortable making a comparison and then to check the typologies suggested here to see what kind of program operations those states really have. In either case, we believe an important use of the classifications is to help those interested in this level of policy-making find each other and to help analysts understand more accurately what each state is really trying to do.

Another use of the classifications is to guide future impact evaluation studies. We have found that there are added dimensions to the enterprise zone concept that can be overlooked in an evaluation that focuses solely on economic achievements. The zone concept has a political and management dimension as well as an economic one. The politics and management of zones are not just design considerations—though our study shows considerable variation in this way. They are also program goals themselves. An important area of research in evaluation outcomes of enterprise zones is the question of whether states find they must trade off achievements in one of these dimensions—economic, political, and management—for achievements in the others, and if so, how they do it.

The findings in this study show that states do vary in program goals and program design. We are able to identify some factors that appear to account for this variation. For example, major differences exist between activist states and others. Activism in turn is associated with increased innovation and reduced risk.

However, the presence of an active program style does not appear to be a controllable policy variable that states can turn on and off at will—it is closely related to programmatic experience and to political structure. While nonactive states are less innovative with program incentives, they may not be less innovative in the other conceptual areas—related to their own political history.

But further research, in particular looking at individual states in depth, is needed to understand other sources of variation between states. The breadth of economic objectives adopted by a state is one example—we found that a state's decision to broaden program goals beyond job creation by incorporating community development objectives was not correlated with state characteristics or program management style. State-by-state case studies may be needed to sort out this issue.

WHERE TO GO FROM HERE

There is no single path to be followed for evaluating state enterprise zones. It is unrealistic to expect there will be a comprehensive national evaluation that might internalize the between- and within-state variations in approaches to each program's important dimensions. Further, there are many different kinds of questions to ask about the program, which may require different research designs to implement. In light of this, we have the following suggestions for future work directions:

There is no single path to be followed for evaluating state enterprise zones. It is unrealistic to expect that there will be a comprehensive national evaluation that might internalize the between- and within-state variations in approaches to each program's important dimensions.

(1) *Case studies of individual state programs are needed.* Avoiding narrow parameters, they should examine political and administrative goals as well as economic ones. States may choose to adopt an enterprise zone program because it empowers local government whether or not it is more efficient economically than a more active alternative; or alternatively, a state may adopt it because it is consistent with a local political culture, when a different type of intervention would be unpalatable.

(2) *Case studies should be designed with an eye to external validity as well as internal.* Ultimately, conclusions about the success of enterprise zone programs nationwide is most likely to be built from comparative state case studies rather than a comprehensive national evaluation. For this to work, case study researchers will need to fit their own state into a framework of national program styles.

(3) *As a start, we suggest the seven factors identified in this analysis:* extensiveness of program management, degree of private sector cooperation, breadth of goals, tolerance or risk, innovation, marketing emphasis, and level of consensus.

(4) *Separate studies of local, private sector, and state management perspectives on zone programs are needed, within and across states.* It is not clear at all from our review of available literature that individuals at each of these levels of government perceive the programs to be meeting the same goals.

(5) *Along with attention to economic opportunity costs in zones, analysis should address the political and management opportunity costs of the program.* What would be happening to relations between state and local government, and between government and the private sector, in the absence of this program. It is not clear economically what would have happened anyway if the zone were not there, nor what would be happening to relations between state and local government, and between government and the private sector, in the absence of this program.

NOTES

1. Charlotte Breckenridge, "Enterprise Zones as a Concept," Report No. 81-84E (Washington, DC: Congressional Research Service, 1981).

2. Stuart M. Butler, "Urban Renewal: A Modest Proposal," *Policy Review* 13 (1980): 98.

3. Stuart Butler, "Statement to the U.S. Subcommittee on Intergovernmental Affairs, Committee on Government Relations, U.S. Senate," February 26, 1981.

4. James Traub, "Urban Enterprise Fraud," *New Republic*, 18 October 1982, 11-14.

5. We found three symposia on enterprise zones to be particularly useful in identifying the origins of these policy streams. See "CATO Symposium on the New Federalism and Urban Opportunities," *CATO Journal* 2 (Fall 1981): 339-541; "Urban Enterprise Zones: A Debate," *International Journal of Urban and Regional Research* 6 (September 1981): 415-446; and "Symposium: Enterprise Zones," *Urban Affairs Quarterly* 18 (September 1982): 3-71. A valuable current treatment of the issues is David C. Maloney, "A Critical Analysis of the 'Enterprise Zone' Concept and Its Application," *Tax Notes*, 19 January 1987, 261-292.

6. Doreen Massey, "Enterprise Zones: A Political Issue," *International Journal of Urban and Regional Research* 6 (1982): 429-434.

7. The following states have, to date, enacted enterprise zone programs: Alabama, Arkansas, California, Colorado, Connecticut, Delaware, Florida, Georgia, Illinois, Hawaii, Indiana, Kansas, Kentucky, Louisiana, Maryland, Michigan, Minnesota, Mississippi, Missouri, Nevada, New Jersey, Ohio, Oklahoma, Oregon, Pennsylvania, Rhode Island, Tennessee, Texas, Vermont, and Virginia.

8. American Association of Enterprise Zones, "Enterprise Zone News," (Spring 1986): 7-10.

9. Primary sources were the U.S. Department of Housing and Urban Development's "Enterprise Zone Update" reports (1982-1986) and official materials collected directly by the authors from state program administrators.

10. See for example, "Special Issue: Enterprise Zones," *NASDA Letter* (20 September 1985) Washington, DC: National Association of State Development Agencies; Dora Hatras, "Enterprise Zones: The Director," *Business Facilities* 20 (May 1987): 47-54; and U.S. Department of Housing and Urban Development, *State Enterprise Zone Update: Summaries of the State Enterprise Zone Programs* (Washington, DC: Office of Community Planning and Development, 1986).

11. Roy E. Green and Michael A. Brintnall, "State Enterprise Zone Programs: Variations in Structure and Coverage (A Preliminary Survey Report)," (Paper delivered at the Annual Meeting of the Midwest Political Science Association, April 1986).

12. The measure includes Walker's index of innovativeness, the McCrone-Cnudde Scale of antidiscrimination provisions, average AFDC payments, earliness of ratification of the ERA amendment, number of state consumer-oriented provisions, and percentage of federal Title XX social service program funds actually spent in 1976. David Klingman and William W. Lammers, "The General Policy Liberalism Factor in American State Politics," *American Journal of Political Science* 28 (August 1984): 598-610.

13. Sources of data for these measures are the U.S. Bureau of the Census, *Statistical Abstract of the United States* (Washington, DC: Government Printing Office, 1984); the Council of State Governments, *Book of the States* (Lexington, KY: 1984); and the U.S. Advisory Commission on Intergovernmental Relations, *The States and Distressed Communities: The Final Report* (Washington, DC: U.S. Advisory Commission on Intergovernmental Relations, 1985).

14. Interest group and party measures come from Sarah McCalley Morehouse's study of state government. Because interest group and party measures are almost perfectly negatively correlated, we have treated them here as essentially the same measure. Sarah McCalley Morehouse, *Politics, Parties and Policy* (New York: Holt, Rinehart and Winston, 1980), pp. 107ff.

15. Arguments found in the literature range from a concern over the "overselling" of the enterprise zone concept—see Earl R. Jones cited in "Academic, Urban Experts Examine U.S., British Enterprise Zones," *Housing and Urban Development Reporter* 13 (9 September 1985): 294—to marketing being one of the two main state strategies for advancing any type of economic activity, the other being efforts to reduce business costs—see Enid F. Beaumont and Harold A. Hovey, "State, Local and Federal Economic Development Policies: New Federal Patterns, Chaos or What?" *Public Administration Review* (March/April 1985): 327ff—to a case study report that suggested that the visibility derived from zone designation alone may be as important as the economic incentives provided in terms of generating new investment—Office of Program Analysis and Evaluation, "Case Studies on the Impact of Enterprise Zones," Unpublished report (Washington, DC: U.S. Department of Housing and Urban Development, 1986).